



THE FREE GUIDE · MY FORECLOSURE SOLUTION

7 Ways to Stop Foreclosure in California

The seven legitimate paths California homeowners use — in
roughly the order worth considering them. Written in plain
English, for people in the middle of it.

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One warning before the list: the single most expensive mistake is waiting. Every option below gets weaker as the timeline advances, and several disappear entirely once a sale date passes. Wherever you are in the process, start today.

01

Reinstate the loan

Pay the missed payments, late charges, and foreclosure fees in one sum, and the foreclosure is cancelled — the loan continues as if nothing happened. After a Notice of Default, California law guarantees you this right for at least three months, and in practice up to five business days before the sale.

Best when: the hardship was temporary and money is available — savings, family, a 401(k) loan, or proceeds from selling something else.

02

Negotiate a repayment plan or forbearance

The servicer agrees to pause or reduce payments for a period, or to spread the arrears over future months on top of your regular payment. Servicers grant these more often than homeowners expect — they lose money on foreclosures too.

Best when: income has recovered or will soon, but you can't produce the full reinstatement amount at once.

03

Apply for a loan modification

A permanent restructuring — lower rate, longer term, or missed payments moved to the back of the loan. Submit a complete application and California law requires the servicer to review it, which generally pauses the foreclosure track while they do ("dual tracking" is restricted).

Best when: you have steady income again but the old payment no longer fits. The application must be complete — half-done files get denied on paperwork alone.

04

Sell before the auction — with your equity intact

If the home is worth more than what's owed, selling on the open market pays off the loan and puts the difference in your pocket. Buyers are not scared off by a Notice of Default. An auction, by contrast, routinely burns equity in fees and below-market bids.

Best when: keeping the home isn't realistic and there's real equity to protect. Time matters — listing early beats listing desperate.

05

Short sale

If you owe more than the home is worth, the lender can agree to accept the sale proceeds as payoff. California law generally bars the lender from pursuing you for the difference after an approved short sale of a home.

Best when: the loan is underwater and you want a controlled exit that's gentler on your credit than a completed foreclosure.

06

Deed in lieu of foreclosure

You hand the keys and title back to the lender voluntarily and walk away, sometimes with negotiated relocation cash. It avoids the auction on your record, but it also surrenders any equity — so it belongs near the end of this list, not the beginning.

Best when: no equity, no buyer, and you want it over with on negotiated terms.

07

Bankruptcy's automatic stay

Filing bankruptcy stops a foreclosure sale immediately by federal law — the "automatic stay." A Chapter 13 plan can then spread the arrears over three to five years. This is a serious legal step with lasting consequences, and it requires a bankruptcy attorney, not a consultant.

Best when: other options are exhausted, the sale is imminent, and an attorney confirms it fits your finances. Talk to a lawyer before anyone else suggests this route.

And one thing that is never on the list

Paying anyone an upfront fee to "save" your home. California law (Civil Code §2945.4) prohibits advance fees for foreclosure assistance. Anyone demanding money before doing the work — or asking you to sign your deed over "temporarily" — is running the exact scam this law exists to stop. Free help also exists: HUD-approved housing counselors at (800) 569-4287.

Which of the seven fits your situation?

That's what the free consultation answers. Call or text (949) 565-5285 — fifteen minutes, your actual numbers, a straight recommendation. No fee, no obligation, no pressure.

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